

2021

Bachelor in Business Administration

Course Title: **Treasure Management**

Code No: **BNK207** Semester: **8th Semester**

Full Marks: **60** Pass Marks: **24** Time: **3 hours**

Candidates are required to answer the questions in their own words as far as practicable.

Section A

1. Correspondent banking provides only credit services to banks and financial institutions.
2. A revolving deposit is a non-interest bearing demand deposit.
3. Front office determines the exchange rate and interest rate for money and capital market securities.
4. In call deposit interest rates are generally dependent on the negotiation between the client and the bank.
5. Consumer loan are made to fulfill the personal financial obligations of an individual.
6. Maintaining a diversified loan portfolio helps a bank reduce systematic liquidity risk.
7. Relationship pricing promotes greater customer loyalty.
8. A bank with a positive duration gap would experience an increase in the market value of equity with rising interest rates.
9. In open market operation, available loanable funds increase with respect to increase interest rate.
10. Funding gap is the ratio between variable rate assets and variable rate liabilities.

Section B

Short Answer Questions:[6 × 5 = 30]

11. What do you mean by Treasury Management? Explain the scope of Treasury Management.
12. What are the major sources of short-term and long-term borrowing for the banks? Explain.
13. What is interbank lending? Describe the reserve requirement provision of central bank. Explain.
14. Define loan pricing. Describe the methods of loan pricing strategy of Nepalese commercial bank.
15. Describe the asset liability management and also high light the major roles and responsibility of ALCO.
16. Commercial bank is leading financial institutions in Nepal though it has so many challenges. In this context, explain the opportunities and challenges of treasury management in Nepalese banking sector.

Section C

Comprehensive Answer Questions:[2 × 10 = 20]

17. Define investment portfolio. Discuss about the investment instruments are available for the Nepalese commercial banks in Nepal.
18. Explain the functions, duties, and responsibilities of Foreign Exchange Dealers Association of Nepal (FEDAN).